

MOCK TEST: MACROECONOMICS

National Income and Related Aggregates

Time: 1 Hour

Max Marks: 30

SECTION A: Multiple Choice Questions (1 Mark Each)

Q1. Which of the following is a 'Flow' concept?

- a) Capital | b) Wealth
- c) National Income | d) Inventory

Q2. GDP at Market Price is equal to:

- a) GDP at FC + Indirect Taxes | b) GDP at FC - Indirect Taxes
- c) GDP at FC + Subsidies | d) GDP at FC - Depreciation

Q3. Which of the following is excluded from the calculation of National Income?

- a) Sale of second-hand cars | b) Wages of domestic servants
- c) Interest on government bonds | d) Production for self-consumption

Q4. NFIA is calculated as:

- a) Factor Income From - To | b) Factor Income To - From
- c) From + To | d) None

Q5. Government Final Consumption Expenditure includes:

- a) Purchase of raw materials | b) Intermediate goods
- c) Salaries of employees | d) Transfer payments

SECTION B: Very Short Answer (1 Mark Each)

Q6. Define 'Intermediate Goods'.

Q7. What is meant by 'Depreciation' in National Income?

Q8. Why are transfer payments excluded from National Income?

Q9. Differentiate between 'Domestic Territory' and 'National Territory'.

Q10. What is the relationship between NNP at FC and NNP at MP?

SECTION C: Short Answer (3 Marks Each)

Q11. Explain 'Double Counting' and how it is avoided.

Q12. Distinguish between 'GDP' and 'GNP'.

Q13. Why is 'NNP at Factor Cost' considered the true National Income?

Q14. Briefly explain the 'Product Method' of estimation.

Q15. List the limitations of GDP as a measure of welfare.

SECTION D: Long Answer / Numerical (5 Marks Each)

Q16. Calculate NNP at Factor Cost (in ₹ Crores):

- GDP at MP: 5000
- NFIA: 100 | - Depreciation: 200
- Indirect Taxes: 300 | - Subsidies: 50

Q17. Explain Circular Flow of Income in a two-sector economy with a diagram.

Q18. Distinguish between 'Stock' and 'Flow' concepts with examples. Why is NI a flow?



ANSWER KEY & SOLUTIONS

Q1-Q5: c, a, a, a, c

Q16 Solution:

Net Indirect Taxes = $300 - 50 = 250$

NNP FC = GDP MP - Depreciation + NFIA - NIT

NNP FC = $5000 - 200 + 100 - 250 = \mathbf{4650 \text{ Crores}}$

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By Thunderstudy**